Major Project

Corporate Financial Health Assessment & Valuation

Case company: Titan Company Ltd (NSE: TITAN)

Submitted by: **Himanshu Kumar**

Finance Techniques: Financial Analysis, Valuation Basics

Submission date: 14 October 2026

All amounts are in Rs crore (1 crore = 10 million) unless stated otherwise. Financial year ends 31 March.

Contents

1. Project overview
2. Tools and technologies used
3. About the company
4. Multi-year financial analysis (FY2022 to FY2026)
5. Growth, profitability and risk evaluation
6. Valuation
7. Recommendations
8. Limitations
9. Work evidence (workbook screenshots)
10. External links and sources

1. Project overview

Investors and managers usually need a structured look at a company before they take a financial decision. In this project I assessed the financial health of Titan Company Ltd and made a rough estimate of what its shares are worth. I chose Titan because it is a large listed company, its financial data is easy to find, and it has grown very fast over the last few years.

The work was done in four steps, which follow the project brief:

- Multi-year financial analysis: I collected five years of data (FY2022 to FY2026) and calculated ratios from it.
- Evaluation of growth, profitability and risk using those ratios.
- Basic valuation using a simple discounted cash flow (DCF) model and two relative valuation methods (P/E and EV/EBITDA).
- Recommendations, one for an investor and one for the company's management.

The calculations are done in an Excel workbook (submitted along with this report) so that every ratio is a formula and can be checked. The numbers in this report are taken from that workbook.

2. Tools and technologies used

Tool	Used for
Microsoft Excel / spreadsheet	Data sheet, ratio calculations, DCF model, P/E and EV/EBITDA valuation, sensitivity table
Charts (Python, matplotlib)	Revenue, margin, return and valuation charts shown in this report
Financial portals and filings	Stockanalysis.com, Anand Rathi, Stockezee and the company results summary for the 5-year figures and share price
Word processing / PDF	Writing and formatting this report

Finance techniques used: ratio analysis, trend analysis, discounted cash flow valuation, price-to-earnings (P/E) and enterprise value to EBITDA (EV/EBITDA) multiples.

3. About the company

Titan Company Ltd is a Tata Group company that sells jewellery (Tanishq, Mia, Zoya), watches and wearables (Titan, Fastrack, Sonata) and eyewear. Jewellery is by far the biggest business. In FY2026, jewellery brought in about Rs 79,660 crore of the group's revenue, watches and wearables about Rs 5,267 crore and eyecare about Rs 916 crore. Jewellery made roughly Rs 7,209 crore of segment profit (EBIT) in the same year, against Rs 824 crore for watches.

This matters for the analysis, because Titan's results move mostly with the jewellery business, which depends heavily on gold prices and on festival and wedding demand. In FY2026 the company also bought a 67% stake in Carat Lane Trading (CaratLane) for Rs 1,190 crore, according to its filing summary.

4. Multi-year financial analysis (FY2022 to FY2026)

Table 1 shows the main figures I used. Table 2 shows the ratios worked out from them.

Rs crore	FY22	FY23	FY24	FY25	FY26
Revenue (net sales)	28,799	40,575	51,084	60,456	87,584
EBITDA	3,341	4,879	5,292	5,694	8,355
EBIT	2,963	4,441	4,714	5,008	7,549
Profit after tax	2,198	3,273	3,495	3,336	5,072
Total assets	21,194	27,023	31,550	40,647	60,561
Shareholders' equity	9,303	11,851	9,393	11,624	15,703
Current assets	17,454	22,407	25,608	34,434	50,781
Current liabilities	10,512	13,264	16,529	25,793	39,793
Total debt (incl. gold loans)	7,275	9,367	15,528	20,777	30,621

Table 1: Key figures (source: Data sheet of the Excel model)

Ratio	FY22	FY23	FY24	FY25	FY26
Revenue growth	-	40.9%	25.9%	18.3%	44.9%
PAT growth	-	48.9%	6.8%	-4.5%	52.0%
Gross margin	24.7%	25.1%	22.7%	21.4%	19.7%
EBITDA margin	11.6%	12.0%	10.4%	9.4%	9.5%
Net profit margin	7.6%	8.1%	6.8%	5.5%	5.8%
ROE	23.6%	27.6%	37.2%	28.7%	32.3%
ROCE	27.7%	32.3%	31.4%	33.7%	36.3%
Current ratio	1.66x	1.69x	1.55x	1.34x	1.28x
Debt-to-equity (incl. gold loans)	0.78x	0.79x	1.65x	1.79x	1.95x
Interest coverage	13.59x	14.80x	7.62x	5.25x	6.40x
Asset turnover	1.36x	1.50x	1.62x	1.49x	1.45x

Table 2: Ratio analysis (ROE = PAT / closing equity; ROCE = EBIT / (total assets - current liabilities))

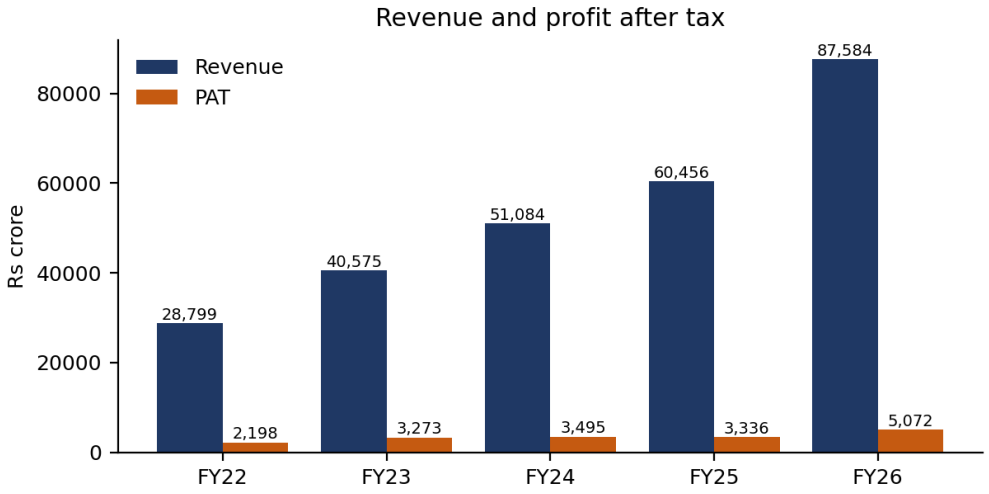


Figure 1: Revenue and profit after tax

5. Growth, profitability and risk evaluation

Growth

Revenue rose from Rs 28,799 crore in FY2022 to Rs 87,584 crore in FY2026, which is a compound growth of about 32% a year. Growth in FY2026 was 44.9%, the highest in the period, and profit after tax grew 52% to Rs 5,072 crore. Profit grew more slowly than sales in FY2024 and fell about 4.5% in FY2025, so growth in profit has been less steady than growth in sales. Over the four years, profit grew about 23% a year, which is lower than the 32% revenue growth. This gap shows up in the margins below.

Profitability

The margins went down while sales went up. Gross margin fell from 24.7% in FY2022 to 19.7% in FY2026, and net margin was 5.8% in FY2026 against 7.6% in FY2022. A likely reason is that more of the revenue now comes from plain gold jewellery, which carries a lower margin than studded jewellery and watches (this is my reading of the segment data, not a figure the company states). Even so, returns are strong. ROE was 32.3% and ROCE 36.3% in FY2026. Titan earns good returns on the money invested, but ROE is also helped by borrowing (equity multiplier of 3.9x in FY2026, up from 2.3x in FY2022).

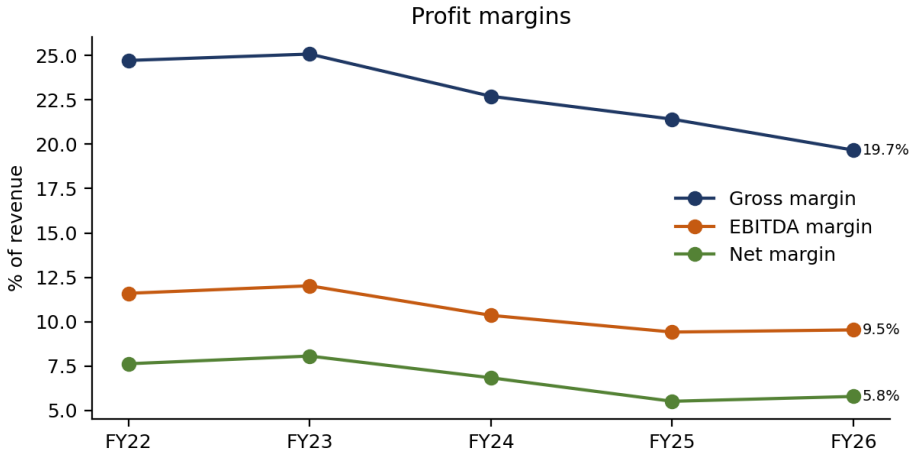


Figure 2: Profit margins

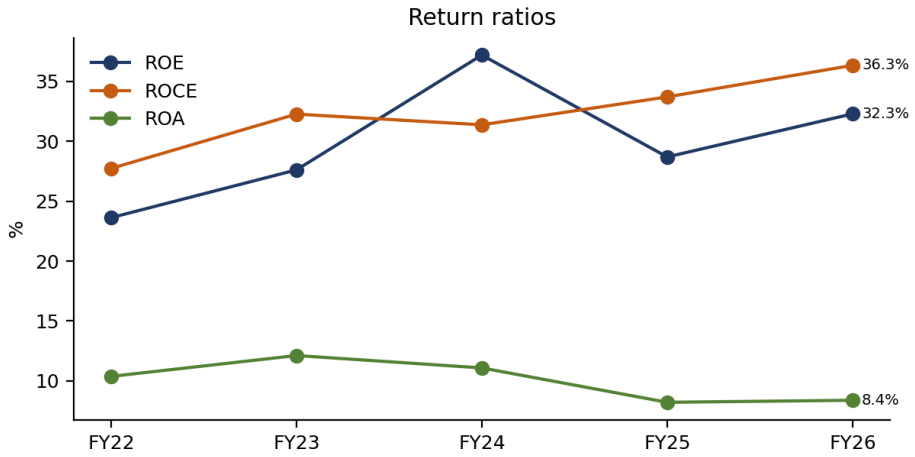


Figure 3: Return ratios

Risk: liquidity and leverage

Debt has gone up a lot. Counting gold-metal loans, total debt grew from Rs 7,275 crore to Rs 30,621 crore and debt-to-equity went from 0.78x to 1.95x. The current ratio fell from 1.66x to 1.28x and interest cover dropped from 13.6x to 6.4x, although it is still comfortable. One point needs care: a large part of this debt is gold on lease, which is held against gold in stock, so it is closer to a working capital item than to ordinary borrowing. On the narrower definition of borrowings (Stockezee shows debt-to-equity of 0.72x and net debt of about Rs 10,505 crore), the picture looks much lighter. I used the narrow figure for valuation and the wider figure to judge risk, and I show both so the reader can see the difference.

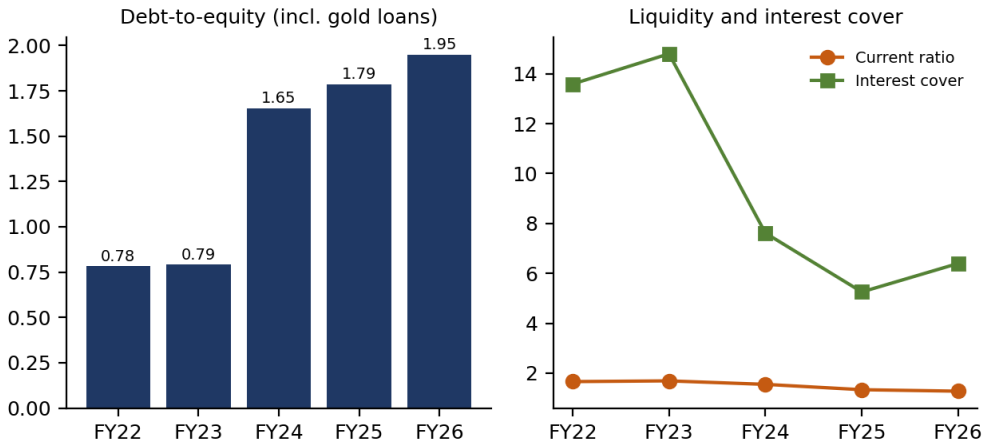


Figure 4: Debt-to-equity, current ratio and interest cover

Other risks I noted: gold price swings can hurt demand (a news item in August 2026 reported the company saying higher gold prices were affecting customers), the business depends on a single large segment, and the share price is very high compared with earnings, which is covered next.

6. Valuation

6.1 Discounted cash flow (DCF)

I started from FY2026 free cash flow of Rs 4,688 crore and assumed it grows 20%, 17%, 15%, 13% and 11% over the next five years. After that I assumed a steady growth of 6% a year. Future cash flows were discounted at 11.5% (my assumed cost of capital). These growth rates and the discount rate are my own assumptions, not company guidance.

Item	Rs crore
PV of 5-year cash flows	26,843
PV of terminal value	106,175
Enterprise value	133,018
Less: net debt (reported basis)	10,505
Equity value	122,513
Shares (crore)	88.78
DCF value per share (Rs)	1,380

Table 3: DCF result (base case)

The base case gives about Rs 1,380 per share, which is 72% below the reference market price of Rs 4,915. About 80% of the value comes from the terminal value, so the result depends a lot on the assumptions. Table 4 shows how it changes.

Terminal growth / WACC	10.5%	11.5%	12.5%	13.5%
5.0%	1,432	1,186	1,007	870
6.0%	1,722	1,380	1,144	971
7.0%	2,177	1,660	1,330	1,103

Table 4: DCF value per share (Rs) under different discount rates and terminal growth

Even with the most generous combination in the table (10.5% and 7%), the DCF value is about Rs 2,177. So a DCF with these cash flows does not support the current price. Either the market expects cash flow to grow much faster and for much longer than I assumed, or the share is expensive. Also, FY2026 free cash flow is small compared with profit because the company keeps adding to inventory as it grows, so it is a low starting point.

6.2 Relative valuation

FY2026 earnings per share (EPS) was Rs 57.1 (PAT divided by 88.78 crore shares). At Rs 4,915, the share trades at a P/E of about 86x on FY2026 earnings (financial portals show a slightly lower trailing P/E, around 78x, because they use more recent earnings), an EV/EBITDA of about 53x and a price-to-book of about 28x. These are very high numbers for any company. I did not have peer data to hand, so the fair multiples below (P/E 50x to 70x and EV/EBITDA 40x to 50x) are my own judgement for a premium consumer brand, and the reader may change them in the workbook.

Method	Low	Mid	High
P/E (assumed 50x / 60x / 70x)	2,857	3,428	3,999
EV/EBITDA (assumed 40x / 45x / 50x)	3,646	4,117	4,587

Table 5: Value per share (Rs) from relative valuation

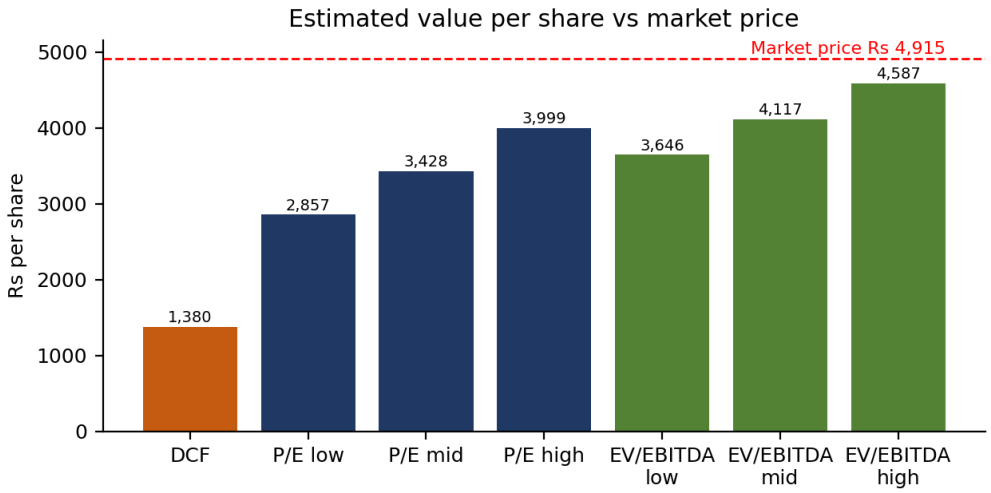


Figure 5: All valuation results against the reference market price

Every method I used gives a value below the market price of Rs 4,915. The closest is the high end of EV/EBITDA at about Rs 4,587. For comparison, some brokerages publicly reported targets near Rs 5,550 in August 2026 (HSBC), so professional views are more positive than my simple models. My models are simple and use limited data, so the result should be read as a rough range and not as an exact answer.

7. Recommendations

For an investor

Titan is clearly a strong business: sales have grown very fast, returns on capital are high (ROCE above 36%), and interest cover is comfortable. The problem is the price. On my numbers the share is trading above every estimate of value, and the market is paying about 86 times last year's earnings. My view for this exercise is **Hold** for existing holders and **not to add at the current price** for new money. A more attractive entry would be nearer the Rs 3,500 to Rs 4,500 range, where the P/E and EV/EBITDA estimates sit. An investor should also watch gold prices, quarterly jewellery growth and whether margins stop falling.

For management

- Protect margins: gross margin has fallen about 5 percentage points in four years. Push studded jewellery, watches and CaratLane, which usually earn better margins than plain gold jewellery.
- Watch the balance sheet: debt and liabilities have grown faster than equity. Keep gold loans tied to gold inventory and avoid letting the current ratio slip much below 1.2x.
- Improve cash conversion: free cash flow is much smaller than profit because of inventory build-up. Better inventory management would raise cash flow and support valuation.
- Reduce dependence on jewellery: grow watches and eyecare, which are small today (together under 8% of revenue), so that results are less tied to gold prices.

Note: this is an academic exercise for my project and not investment advice.

8. Limitations

- The figures come from financial portals and summaries of the annual filing, not directly from the printed annual report. Small differences of a crore or two are possible, and the numbers should be checked against the annual report before final use.
- The DCF growth rates, discount rate and fair multiples are my own assumptions and the result is sensitive to them.
- I used closing equity (not average equity) for ROE and ROCE, to keep the method simple.
- Debt can be defined in different ways for Titan (with or without gold-metal loans), which changes leverage ratios a lot. Both views are shown.
- The share price is from 17 September 2026 and will have changed by now.
- No peer company data was used, so relative valuation is based on assumed multiples.

9. Work evidence (workbook screenshots)

The screenshots below are from the Excel workbook *Titan_Financial_Health_Valuation_Model.xlsx* that I built for this project. It has five sheets: Data, Ratios, DCF, Relative Valuation and Summary. Inputs are in blue and the yellow cells are the assumptions that can be changed.

Titan Company Ltd - Input Data (Rs crore, consolidated, FY ends 31 March)

Blue = hard-coded input taken from the sources listed at the bottom.

Item	FY2022	FY2023	FY2024	FY2025	FY2026
Revenue (net sales)	28,799	40,575	51,084	60,456	87,584
Gross profit	7,119	10,176	11,597	12,945	17,227
EBITDA (PBIDT excl. other income)	3,341	4,879	5,292	5,694	8,355
EBIT (operating income)	2,963	4,441	4,714	5,008	7,549
Interest expense	218	300	619	953	1,180
Profit after tax (PAT)	2,198	3,273	3,495	3,336	5,072
Total assets	21,194	27,023	31,550	40,647	60,561
Shareholders' equity	9,303	11,851	9,393	11,624	15,703
Total liabilities	11,861	15,119	22,157	29,023	44,858
Current assets	17,454	22,407	25,608	34,434	50,781
Current liabilities	10,512	13,264	16,529	25,793	39,793
Total debt (incl. gold-metal loans)	7,275	9,367	15,528	20,777	30,621
Cash & equivalents	219	232	409	407	873

Single-value inputs

Shares outstanding (crore)	88.779
Reference share price (Rs) - 17 Sep 2026	4,914.95
Net debt on reported-borrowings basis (Rs crore), FY2026	10,505
Free cash flow FY2026 (Rs crore)	4,688

Sources: stockanalysis.com (income statement and balance sheet, NSE:TITAN), Anand Rathi financial results page, stockezee.com financials, craytheon.com (FY26 free cash flow), FilingReader summary of the FY26 filing (net worth Rs 15,703 crore, PAT Rs 5,073 crore), share price from Anand Rathi (17 Sep 2026). Aggregator figures were converted from Rs million to Rs crore (divide by 10). Small differences of 1-2 crore vs the annual report are due to rounding. Debt note: 'Total debt' above includes gold-on-lease / gold-metal loans, which sit against gold inventory. Titan's own reported borrowings are much lower, so net debt for valuation uses the reported-borrowings figure (Rs 10,505 crore, stockezee). Both views are shown in the report. Please verify the key numbers against Titan's FY2025-26 annual report on titancompany.in / BSE before final submission.

Screenshot 1: Data sheet (inputs)

Ratio Analysis (all formulas link to the Data sheet)

Ratio	FY2022	FY2023	FY2024	FY2025	FY2026
Growth					
Revenue growth	-	40.9%	25.9%	18.3%	44.9%
EBIT growth	-	49.9%	6.1%	6.2%	50.7%
PAT growth	-	48.9%	6.8%	-4.5%	52.0%
Profitability					
Gross margin	24.7%	25.1%	22.7%	21.4%	19.7%
EBITDA margin	11.6%	12.0%	10.4%	9.4%	9.5%
EBIT margin	10.3%	10.9%	9.2%	8.3%	8.6%
Net profit margin	7.6%	8.1%	6.8%	5.5%	5.8%
ROE (PAT / closing equity)	23.6%	27.6%	37.2%	28.7%	32.3%
ROA (PAT / total assets)	10.4%	12.1%	11.1%	8.2%	8.4%
ROCE (EBIT / (assets - current liabilities))	27.7%	32.3%	31.4%	33.7%	36.3%
Liquidity and leverage (risk)					
Current ratio	1.66x	1.69x	1.55x	1.34x	1.28x
Debt-to-equity (incl. gold loans)	0.78x	0.79x	1.65x	1.79x	1.95x
Total liabilities / equity	1.27x	1.28x	2.36x	2.50x	2.86x
Interest coverage (EBIT / interest)	13.6x	14.8x	7.6x	5.3x	6.4x
Equity multiplier (assets / equity)	2.28x	2.28x	3.36x	3.50x	3.86x
Efficiency					
Asset turnover (revenue / total assets)	1.36x	1.50x	1.62x	1.49x	1.45x

4-year CAGR (FY2022 to FY2026)

Revenue CAGR	32.1%
PAT CAGR	23.3%
Equity CAGR	14.0%

Screenshot 2: Ratios sheet

Simple DCF (free cash flow to firm, 5-year forecast + terminal value)

Assumptions (change the yellow cells)

Discount rate (WACC)	11.5%
Terminal growth rate	6.0%
Base free cash flow (FY2026, Rs crore)	4,688

	Year 1	Year 2	Year 3	Year 4	Year 5
Forecast year (n)	1	2	3	4	5
FCF growth rate	20.0%	17.0%	15.0%	13.0%	11.0%
Free cash flow (Rs crore)	5,626	6,582	7,569	8,553	9,494
Discount factor	0.897	0.804	0.721	0.647	0.580
Present value (Rs crore)	5,045	5,294	5,460	5,534	5,509

Sum of PV of forecast FCF	26,843
Terminal value at Year 5	182,977
PV of terminal value	106,175
Enterprise value	**133,018**
Less: net debt (reported borrowings)	10,505
Equity value	122,513
Shares outstanding (crore)	88.779
DCF value per share (Rs)	**1,380**
Reference market price (Rs)	4,915
DCF value vs market price	-71.9%
Terminal value as % of EV	79.8%

Sensitivity: DCF value per share (Rs) - WACC across, terminal growth down

	10.5%	11.5%	12.5%	13.5%
5.0%	1,432	1,186	1,007	870
6.0%	1,722	1,380	1,144	971
7.0%	2,177	1,660	1,330	1,103

Growth rates, WACC and terminal growth are my own assumptions (not company guidance). Base FCF is FY2026 free cash flow (craytheon.com).

Screenshot 3: DCF sheet

Relative Valuation (P/E and EV/EBITDA)

FY2026 EPS (Rs) = PAT / shares	57.13
Reference market price (Rs)	4,914.95
Current P/E (x)	86.0x
Market capitalisation (Rs crore)	436,344
Net debt, reported basis (Rs crore)	10,505
Enterprise value (Rs crore)	446,849
FY2026 EBITDA (Rs crore)	8,355
Current EV/EBITDA (x)	53.5x
Price-to-book (x) = market cap / equity	27.8x

P/E method (assumed fair multiples)

	Low	Mid	High
Assumed P/E (x)	50x	60x	70x
Value per share (Rs)	2,857	3,428	3,999

EV/EBITDA method (assumed fair multiples)

	Low	Mid	High
Assumed EV/EBITDA (x)	40x	45x	50x
Implied EV (Rs crore)	334,200	375,975	417,750
Value per share (Rs)	3,646	4,117	4,587

Assumed multiples are my own judgement for a premium consumer/jewellery company (no peer data pulled); change the yellow cells to test.

Screenshot 4: Relative Valuation sheet

10. External links and sources

No GitHub or hosted link is applicable to this project. The Excel workbook is submitted with the report. Data sources:

- Stockanalysis.com, Titan Company income statement and balance sheet: https://stockanalysis.com/quote/nse/TITAN/financials/
- Anand Rathi, Titan financial results: https://anandrathi.com/stocks/titan-company/financial-results/100114
- Anand Rathi, Titan share price page (17 Sep 2026 price): https://anandrathi.com/stocks/titan-company-ltd/share-price-today
- Stockezee, Titan financial statements (debt and net debt): https://www.stockezee.com/stocks/titan/financials
- Craytheon, Titan financials (FY2026 free cash flow): https://craytheon.com/stocks/titan-industries/financials/
- FilingReader summary of the FY2026 filing (9 May 2026): https://filingreader.com/news-wire/mumbai/2026-05-09/titan-company-annual-income-surges-to-88136-crores
- Titan Company investor relations (annual report, to verify figures): https://www.titancompany.in